MDLZ

UNITED STATES
NASDAQ: MDLZ
Bloomberg: MDLZ:US

Equity Research Report

1 August 2026

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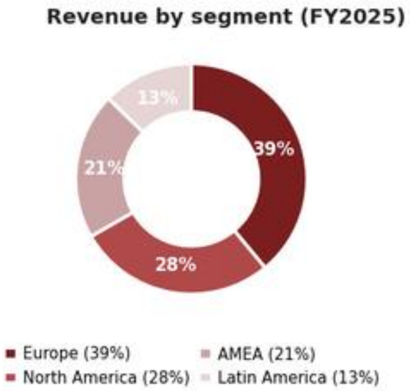
Current price (1 August 2026): $62.31
Market Capitalization: $79.bn
EV: $98.3bn
Free Float: 89.44%



BUY

Target Price: $84.00

Upside: ~34.8%

A Global Snacking Powerhouse

A leading global snacking company with a portfolio of iconic brands

Mondelēz International (NASDAQ: MDLZ) is one of the world's largest snacking companies and a global leader in biscuits, chocolate, baked snacks, gum and candy. The company operates in more than 150 countries and markets some of the most recognized consumer brands, including Oreo, Cadbury, Ritz, Milka, Toblerone, Trident, Halls and BelVita. In FY2025, the company generated revenue of **$38.5 billion**, with Europe contributing the largest share of sales. Its diversified product portfolio and broad geographic presence provide resilience across economic cycles while strengthening its position in the highly attractive global snacking industry.

Strong business model with balanced growth and returns

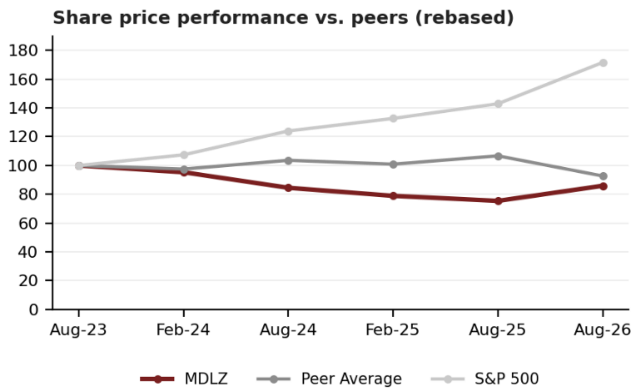
Mondelēz's business model is built on premium brands, pricing power, continuous product innovation and an efficient distribution network. The company maintains leading positions across multiple snack categories while balancing its exposure between mature and emerging markets. According to your financial model, revenue is projected to increase from **$38.5 billion in FY2025 to $48.9 billion by FY2028**, representing a three-year CAGR of approximately **8.2%**. Strong operating leverage and disciplined cost management are expected to support continued profitability and sustainable margin expansion.

Outlook: Emerging markets and premiumization to drive future growth

We expect Mondelēz to deliver steady organic growth over FY2026-FY2028, supported by pricing initiatives, innovation and increasing demand in developing markets. The company's focus on premium products, digital commerce and category expansion should continue to strengthen its competitive position. Revenue is forecast to increase to **$41.7 billion in FY2026**, **$45.1 billion in FY2027** and **$48.9 billion in FY2028**. Net income is projected to rise from **$4.5 billion in FY2026 to $5.3 billion in FY2028**, supported by productivity initiatives and an improving operating environment.

Valuation and recommendation

We value Mondelēz International using a combination of discounted cash flow (DCF) and relative valuation methodologies. The relative valuation analysis compares MDLZ with a selected peer group consisting of PepsiCo, Coca-Cola, Colgate-Palmolive, Hershey, Procter & Gamble and Kraft Heinz. Based on our valuation model, MDLZ appears to be trading below its intrinsic value. The DCF analysis indicates a fair value estimate of **$84.00 per share**, implying an upside potential of approximately **34.8%** from the current market price of **$62.31**. The company's strong portfolio of global brands, diversified geographic footprint, consistent cash-flow generation and disciplined capital allocation support a favorable long-term investment outlook. Consequently, we initiate coverage with a **BUY** recommendation.



Key Financials

USD mn	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E
Net Revenues	36,016	36,441	38,537	41,668	45,095	48,851
EBITDA	7,302	7,800	5,048	7,649	8,266	8,941
EBITDA Margin (%)	20.3	21.4	13.1	18.4	18.3	18.3
Net Income	5,544	4,764	2,593	4,469	4,872	5,317
EPS (USD)	4.05	3.54	2.00	3.44	3.75	4.10
DPS (USD)	1.62	1.79	1.94	2.08	2.26	2.47
P/E (x)	15.4	17.6	31.2	18.1	16.6	15.2
EV/EBITDA (x)	14.3	13.4	20.7	13.6	12.6	11.7
ROIC (%)	10.1	11.6	6.2	10.2	10.8	11.5

Source: Company data (10-K/10-Q filings); EBITDA = Operating Income + D&A; ROIC = NOPAT / (Debt + Equity − Cash); P/E and EV/EBITDA based on 31 Jul 2026 price of $62.31 and EV of $104.4bn

TIME LINE

2012
Spin-off from Kraft Foods; Mondelez International formed

2018
Acquired Tate's Bake Shop, entering premium baked snacks

2021–22
Acquired Chipita, Clif Bar and Ricolino; scaled snacking portfolio

2024–25
Portfolio reshaping; divested select developed-market gum business

2026
Focus on premiumization and emerging-market growth strategy

Source: Company fillings, Bloomberg

COMPANY HISTORY

Mondelez International was founded in 2012 as a spin-off from Kraft Foods Inc., taking on the global snacking business and retaining Kraft's iconic biscuit, chocolate and confectionery brands. Since separation, the company has grown through a series of acquisitions and portfolio reshaping to become one of the world's largest snacking companies. Today, Mondelēz stands as a global leader in the snacking industry, with a portfolio built around scale, brand equity and disciplined innovation, guided by its corporate purpose to "empower people to snack right."

MONDELEZ AT A GLANCE

HEADQUARTERS	OPERATIONS	EMPLOYEES	KEY BRANDS	CORE CATEGORIES
Chicago, Illinois, USA	150+ countries	~91,000 (FY2025 proxy filing)	Oreo, Cadbury, Milka, Ritz, Trident, Toblerone, Tate's	Biscuits, Chocolate, Baked Snacks, Gum & Candy

BUSINESS MODEL

Mondelez operates a brand-led, route-to-market model built on scale manufacturing, disciplined pricing and a global distribution network spanning developed and emerging markets.

The company balances four reportable segments — Europe, North America, AMEA and Latin America — offsetting regional volume softness with pricing power and premiumization, while consistent cash generation funds brand investment and shareholder returns.

BRAND PORTFOLIO

CHOCOLATE	Cadbury, Milka, Toblerone
BISCUITS & BAKED SNACKS	Oreo, Ritz, Tate's Bake Shop
GUM	Trident
CANDY	Halls, Sour Patch Kids
BEVERAGES	Tang

INVESTMENT THESIS

ICONIC GLOBAL BRANDS
Strong portfolio of trusted, high-equity brands with loyal consumer base.

PRICING POWER & PREMIUMIZATION
Ability to pass through costs and drive mix improvement.

EMERGING-MARKET EXPOSURE
Significant presence in high-growth markets supporting long-term growth.

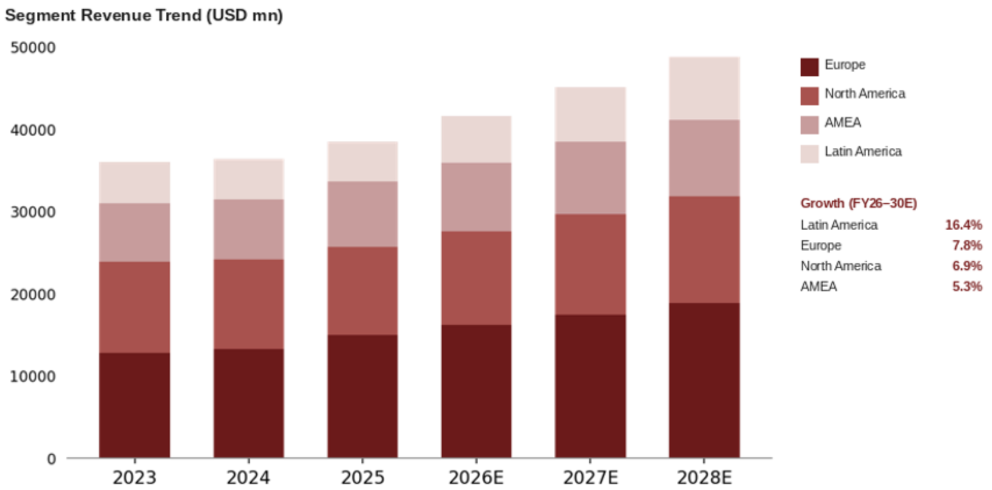
CONSISTENT CASH GENERATION
Strong free cash flow supports dividends, buybacks and reinvestment.

DISCIPLINED CAPITAL ALLOCATION
Focus on productivity, margin expansion and value-accretive growth.

BUSINESS SEGMENTS & FINANCIAL PERFORMANCE

Segment Revenue Trend

Europe remains Mondelēz's largest-growing segment in absolute terms, expected to reach $18.8 billion by FY2028E, followed by North America and AMEA. Latin America, while the smallest segment, is projected to grow at the fastest pace over the forecast period, with a 16.4% CAGR (FY2026–2030E), supported by continued pricing strength and premiumization in emerging markets.



Source: Mondelez International Revenue Segment

Segment Profitability(FY2025)

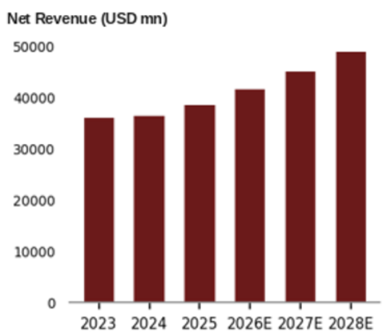
Unprecedented cocoa cost inflation compressed margins across every segment in FY2025; North America saw the sharpest decline, with segment operating margin falling from 22.8% to 17.8%.

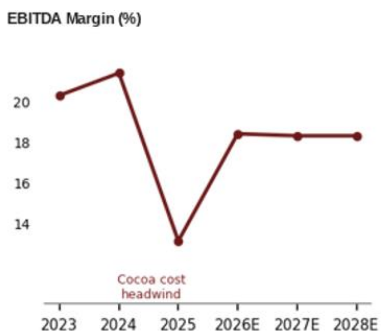
Segment	FY25 Revenue	Op. Income	Op. Margin	vs FY24 Margin
Europe	$15,027mn	$1,820mn	12.1%	−3.4 pp
North America	$10,679mn	$1,904mn	17.8%	−5.0 pp
AMEA	$7,932mn	$985mn	12.4%	−3.9 pp
Latin America	$4,899mn	$569mn	11.6%	+0.8 pp

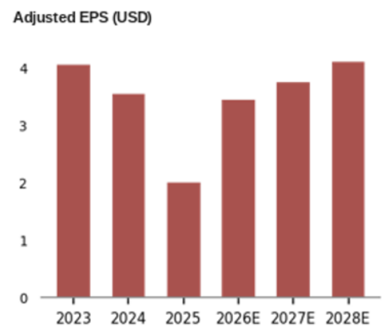
Source: Mondelez International, FY2025 Form 10-K, Note 18 – Segment Reporting

Financial Performance

Net revenue is projected to grow from $36.0 billion in FY2023 to $48.9 billion by FY2028E. EBITDA margin, while briefly compressed in FY2025 due to unprecedented cocoa cost inflation, is expected to recover and expand steadily thereafter, supporting a corresponding rebound in adjusted EPS through the forecast period.







Valuation

Trading-comps implied value (EV/EBITDA basis) vs. current price of $62.31 (31 Jul 2026):

LTM EV/EBITDA: $63.80 – $81.43 *(+2% to +31%)*

FY1 EV/EBITDA: $71.05 – $90.28 *(+14% to +45%)*

FY2 EV/EBITDA: $72.96 – $92.62 *(+17% to +49%)*

Capital Allocation & Leverage

FY2025 Free Cash Flow: $3.2bn

Returned to shareholders: $4.9bn (div. $2.49bn + buybacks $2.39bn)

Net Debt (Dec-25): $19.1bn (vs. $16.4bn Dec-24)

FY26 outlook (cc): Organic rev. flat–2%; Adj. EPS flat–5%

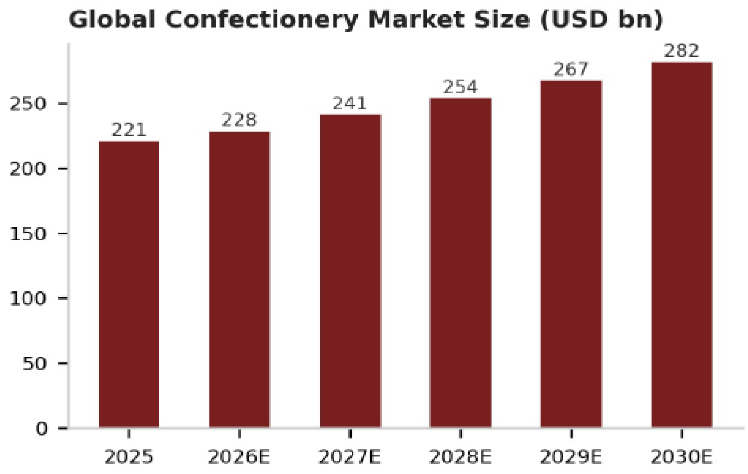
Source: Company data (10-K FY2025); Q4/FY2025 earnings release (3 Feb 2026); segment figures are reported (GAAP) segment operating income. Valuation range from internal trading comps analysis (peers: Coca-Cola, PepsiCo, Colgate-Palmolive, Hershey, P&G, Kraft Heinz).

INDUSTRY ANALYSIS

Global Snacking Industry

The global snacking market continues to expand, driven by premiumization, convenience, health-conscious consumption, product innovation, and growth in emerging markets. Within this landscape, the confectionery category — Mondelēz's core business — remains a large and steadily growing market, with Europe as its single largest region, mirroring MDLZ's own geographic revenue mix.

Market Size



Source: Fortune Business Insights, Confectionery Market Report (2025); CAGR ~3.3%

Growth Drivers

- Premiumization
- Convenience
- E-commerce
- Health & wellness
- Product innovation
- Emerging markets

Industry Trends

- Sustainable packaging
- Premium products
- Better-for-you snacks
- Digital retail channels

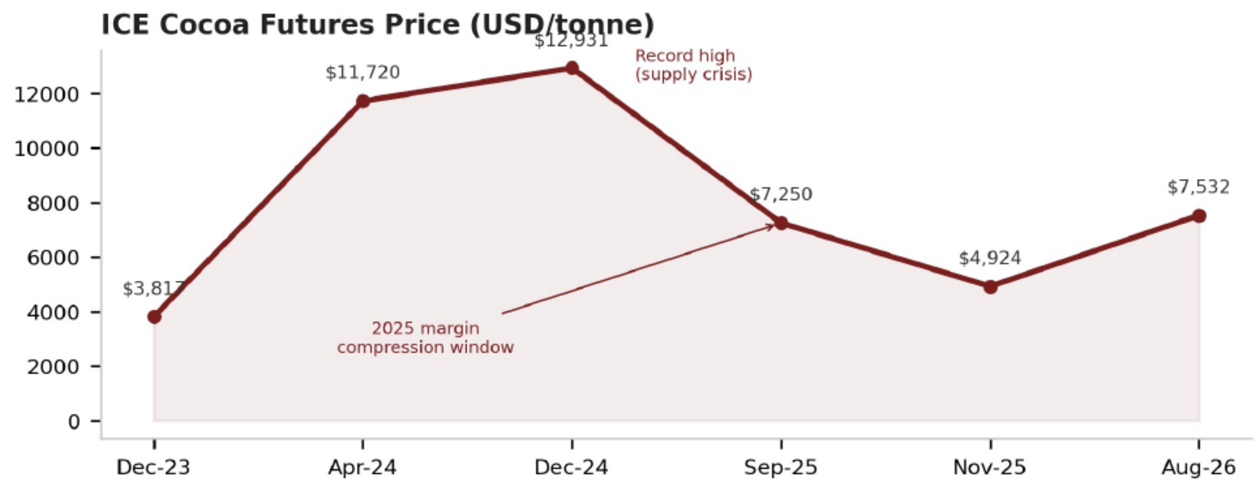
Competitive Landscape (FY 2025 Revenue)

Company	Revenue (USD bn)
Nestlé	108.5
PepsiCo	93.9
Mondelēz	38.5
Kraft Heinz	24.9
Hershey	11.7

Source: Company filings/press releases, FY2025

Key Input Cost: Cocoa Price Volatility

As the industry's primary raw material for chocolate-based products, cocoa prices directly affect margins across the sector. Prices surged from roughly $3,800/tonne in late 2023 to a record high above $12,900/tonne in December 2024 — a supply-driven spike caused by adverse weather and crop disease in West Africa — before correcting sharply through 2025 as supply improved. This volatility was the primary driver of the industry-wide margin compression seen in FY2025, including at MDLZ.

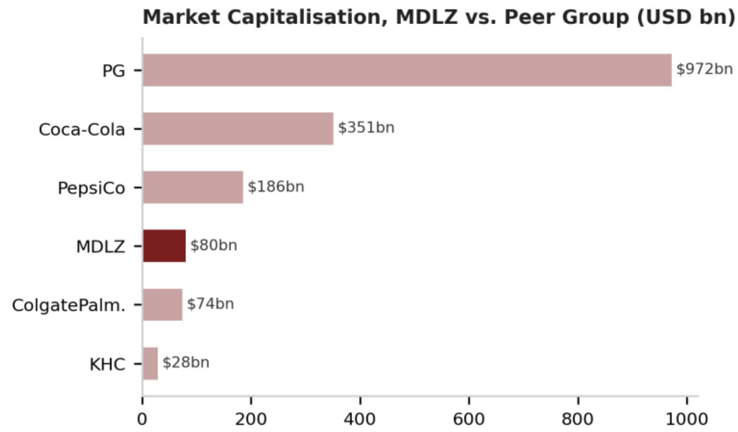


Source: ICE Cocoa Futures, Barchart, Statista (2023–2026)

COMPETITIVE POSITIONING

Peer Group

We benchmark Mondelēz against six listed food & beverage peers: The Coca-Cola Company, PepsiCo, Colgate-Palmolive, The Hershey Company, Procter & Gamble, and Kraft Heinz — the same peer set used in our relative valuation analysis.



Scale & Positioning

At a market capitalisation of $79.5bn, MDLZ is mid-sized within the peer set — smaller than P&G ($972bn), Coca-Cola ($350.9bn) and PepsiCo($185.5bn), but larger than Colgate-Palmolive ($73.8bn) and Kraft Heinz ($28.3bn).

Trading Multiples (LTM)

Ticker	CMP	Mkt Cap ($bn)	EV/Sales	EV/EBITDA	EV/EBIT	P/E
MDLZ	$62.31	79.5	2.6x	13.5x	16.4x	18.6x
Coca-Cola	$81.27	350.9	7.3x	21.7x	23.1x	27.2x
PepsiCo	$135.40	185.5	2.4x	12.2x	15.1x	16.2x
Colgate-Palmolive	$102.43	73.8	4.0x	16.4x	18.8x	24.3x
Hershey	$175.45	36.1	38.6x	139.3x	164.9x	13.0x
P&G	$146.64	972	4.3x	14.9x	18.6x	21.7x
KHC	$23.62	28.3	1.8x	8.2x	9.9x	27.1x
Peer median (ex-MDLZ)			4.2x	15.7x	18.7x	23.0x

Multiple Dispersion (EV/EBITDA, LTM)

MDLZ trades at 13.5x LTM EV/EBITDA — below the peer median of 19.0x. Hershey's 139.3x is a clear outlier driven by the CMP data issue noted above and is excluded from the median calculation; even excluding Hershey, MDLZ trades at a discount to every other peer.

Calculation of beta & Capital Structure

Particulars	Levered beta	D/(D+E) (last three years)	E/(D+E) (last three years)	Tax rate (%)	Unlevered beta	Relevered beta
Bottom-up						
The Coca-Cola Company	0.37	18.9%	81.1%	27.0%	0.31	0.37
PepsiCo	0.32	17.5%	82.5%	27.0%	0.28	0.33
Colgate Palmolive	0.28	16.9%	83.1%	27.0%	0.25	0.29
Unilever PLC	0.30	11.7%	88.3%	27.0%	0.27	0.32
Procter and Gamble Company	0.42	12.8%	87.2%	27.0%	0.38	0.44
		16.9%	83.1%			0.33
Beta Calculation for Target Co						
1 Bottoms Up beta						0.33
2 Regression beta(Mondelez Int.)	0.35	18.9%	81.1%	27.0%	0.30	0.35

Yearly Snapshot

Source Data (Company Financials, in USD millions)					
Fiscal Year Ended Dec-31	2021	2022	2023	2024	2025
Net revenues	$28,720	$31,496	$36,016	$36,441	$38,537
Cost of sales	$17,466	$20,184	$22,252	$22,184	$27,602
Gross profit	$11,254	$11,312	$13,764	$14,257	$10,935
Operating income	$4,787	$3,666	$6,087	$6,498	$3,690
Earnings before income taxes (EBT)	$4,503	$3,360	$6,465	$6,414	$3,156
Net earnings attributable to Mondelēz International (Ne	$4,434	$2,849	$5,544	$4,764	$2,593
Total assets	$67,092	$71,161	$71,391	$68,497	$71,487
Total Mondelēz International shareholders' equity	$28,269	$26,883	$28,332	$26,932	$25,838

Source: Mondelēz International, Inc. Consolidated Statements of Earnings and Consolidated Balance Sheets, FY2021-FY2025. Net Income shown is net earnings attributable to Mondelēz International (i.e., after noncontrolling interest).

Income Statement	12 Months	12 Months	12 Months	12 Months
(In USD millions)	31-Dec-22	31-Dec-23	31-Dec-24	31-Dec-25
Net Operating Revenues	**$31,496**	**$36,016**	**$36,441**	**$38,537**
Cost of Goods and Services Sold	$20,184	$22,252	$22,184	$27,602
Gross Profit	**$11,312**	**$13,764**	**$14,257**	**$10,935**
Operating Income	**$3,666**	**$6,087**	**$6,498**	**$3,690**
EBT	$3,360	$6,465	$6,414	$3,156
Net Income	**$2,849**	**$5,544**	**$4,764**	**$2,593**

Mondelez International

DUPONT Analysis

Return on Equity	Dec-22	Dec-23	Dec-24	Dec-25
Net Profit	$2,849	$5,544	$4,764	$2,593
Average Shareholder Equity	$27,576	$27,608	$27,632	$26,385
Return on Equity	**10.33%**	**20.08%**	**17.24%**	**9.83%**

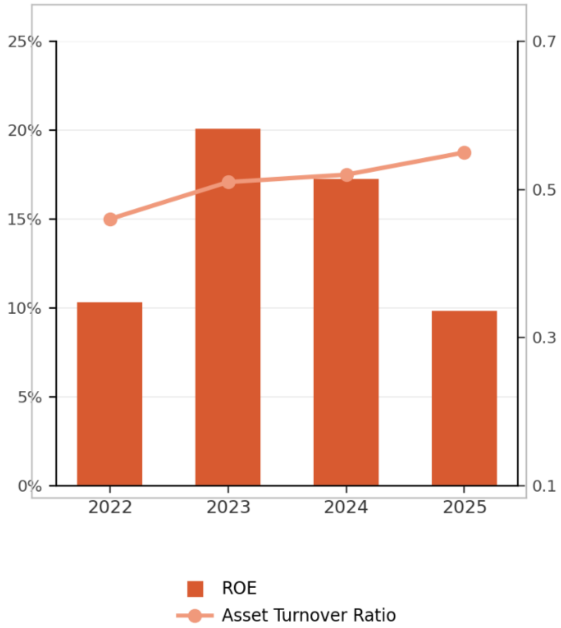
ROE - Dupont Equation	Dec-22	Dec-23	Dec-24	Dec-25
Net Profit	$2,849	$5,544	$4,764	$2,593
Revenue	$31,496	$36,016	$36,441	$38,537
Net Profit Margins (A)	**9.05%**	**15.39%**	**13.07%**	**6.73%**
Revenue	$31,496	$36,016	$36,441	$38,537
Average Total Asset	$69,127	$71,276	$69,944	$69,992
Asset Turnover Ratio (B)	**0.46x**	**0.51x**	**0.52x**	**0.55x**
Average Total Asset	$69,127	$71,276	$69,944	$69,992
Average Shareholder Equity	$27,576	$27,608	$27,632	$26,385
Equity Multiplier (C)	**2.51x**	**2.58x**	**2.53x**	**2.65x**
Return on Equity (A*B*C)	**10.33%**	**20.08%**	**17.24%**	**9.83%**

Return on Asset				
	Dec-22	Dec-23	Dec-24	Dec-25
Net Profit	$2,849	$5,544	$4,764	$2,593
Average Total Asset	$69,127	$71,276	$69,944	$69,992
Return on Asset	**4.12%**	**7.78%**	**6.81%**	**3.70%**

ROA - Dupont Equation				
	Dec-22	Dec-23	Dec-24	Dec-25
Net Profit	$2,849	$5,544	$4,764	$2,593
Revenue	$31,496	$36,016	$36,441	$38,537
Net Profit Margins (A)	**9.05%**	**15.39%**	**13.07%**	**6.73%**

Revenue	$31,496	$36,016	$36,441	$38,537
Average Total Asset	$69,127	$71,276	$69,944	$69,992
Asset Turnover Ratio (B)	**0.46x**	**0.51x**	**0.52x**	**0.55x**
Return on Asset (A*B)	**4.12%**	**7.78%**	**6.81%**	**3.70%**

Dupont Summary:



- ROE was positive every year but volatile: it peaked at 20.08% in 2023, then fell to 9.83% by 2025. The range runs from 9.83% to 20.08%.

- Asset turnover ratio improved steadily each year, from 0.46x to 0.55x, meaning the company generated more revenue per dollar of assets over time.

- Net profit margin swung sharply, from 9.05% up to 15.39%, then down to 6.73% by 2025 — far less consistent than a stable-margin business.

ROA is also inconsistent, ranging from 3.70% to 7.78% rather than holding steady.

- Overall the company shows steady gains in asset efficiency, but profitability is uneven — FY25's margin compression pulled ROE back near its FY22 level. This is a business where investors should watch margin trends closely rather than assume consistency.

Valuation – Discounted Cash Flow (Gordon Growth Method)

Valuation date: 15 June 2026 | Latest filing reflected: 31 Mar 2026 | WACC: 5.61% | Discounting convention: year-end, mid-year

DCF Build – Free Cash Flow to Firm

	12 Months	12 Months	12 Months	12 Months	12 Months
Date of cash flows	**31 December 2026**	**31 December 2027**	**31 December 2028**	**31 December 2029**	**31 December 2030**
EBIT	5,956	6,493	7,086	7,737	8,444
Tax Rate	24.7%	24.7%	24.7%	24.7%	24.7%
NOPAT	**4,484**	**4,888**	**5,334**	**5,824**	**6,356**
Add: Depreciation and amortisation	1,456	1,563	1,680	1,809	1,950
Add/Less: (Increase)/ Decrease in net working capital	(117)	61	67	74	81
Less: Capital expenditure	(2,233)	(2,373)	(2,583)	(2,815)	(3,071)
Debt free cash flow (Free Cash Flows to Firm)	**3,590**	**4,139**	**4,499**	**4,892**	**5,317**

Discounting & Terminal Value — Mid-Year & Year-End

		12 Months	12 Months	12 Months	12 Months	12 Months
	Date of cash flows	**31 December 2026**	**31 December 2027**	**31 December 2028**	**31 December 2029**	**31 December 2030**
5.61%	Discount rate (%)	201	232	252	274	298
	Discounting Period-Year End	1.0	2.0	3.0	4.0	5.0
	Discounting Period-Mid Year	0.50	1.50	2.50	3.50	4.50
	Present value factor- Year end discounting	0.95x	0.90x	0.85x	0.80x	0.76x
	Present value factor- Mid year discounting	0.97x	0.92x	0.87x	0.83x	0.78x
	Present value debt free cash flow	**3,493**	**3,814**	**3,925**	**4,042**	**4,159**

		12 Months	12 Months	12 Months	12 Months	12 Months
	Date of cash flows	**31 December 2026**	**31 December 2027**	**31 December 2028**	**31 December 2029**	**31 December 2030**
5.61%	Discount rate (%)	201	232	252	274	298
	Discounting Period-Year End	1.0	2.0	3.0	4.0	5.0
	Discounting Period-Mid Year	0.50	1.50	2.50	3.50	4.50
	Present value factor- Year end discounting	0.95x	0.90x	0.85x	0.80x	0.76x
	Present value factor- Mid year discounting	0.97x	0.92x	0.87x	0.83x	0.78x
	Present value debt free cash flow	**3,399**	**3,711**	**3,819**	**3,933**	**4,047**

Equity Value Bridge

		Mid-year	End-year
Terminal value		**Gordon growth**	**Gordon growth**
Long Term Growth Rate		2.0%	2.0%
Terminal Value		1,46,852	1,46,852
Present Value of TV		1,14,466	1,11,341
DCF Value of Firm / Operating Business Enterprise Value		**1,33,859**	**1,30,204**
Add: Non Operating Assets		667	667
Total Value of Firm		**1,34,526**	**1,30,871**
Less: Gross Debt & Debt Equivalents		21,205	21,205
Add: Cash		2,125	2,125
Less: Non Controling Interest		53	53
DCF value of Common Equity		**1,15,393**	**1,11,738**
No. of shares o/s		1,284	1,284
DCF value per share		**90**	**87**

Source: Company DCF model (Mondelez_International_company.xlsx, "DCF" tab)

Gordon Growth DCF implies $87 per share (year-end discounting) to $90 per share (mid-year discounting), versus a current price of $62.31 (31 July 2026) — a +39.6% to +44.4% premium to CMP.

DCF (Exit Multiple Method) & WACC Sensitivity

	Mid-year	End-year
Terminal Value	**Exit Multiple Method**	**Exit Multiple Methoc**
LTM EV/EBITDA	13	13
Terminal Year EBITDA	10,395	10,395
Terminal Value	1,39,862	1,39,862
Present Value of TV	1,09,409	1,06,464
DCF Value of Firm / Operating Business Enterprise Value	**1,28,842**	**1,25,374**
Add: Non Operating Assets	667	667
Total Value of Firm	**1,29,509**	**1,26,041**
Less: Gross Debt & Debt Equivalents	21,205	21,205
Add: Cash	2,125	2,125
Less: Non Controling Interest	53	53
DCF value of Common Equity	**1,10,376**	**1,06,908**
No. of shares o/s-Diluted	1,284	1,284
DCF value per share	**86**	**83**

WACC Build-Up

Mondelez International WACC Calculation

(in USD million except per Share Data)

1 **Bottoms Up beta**

Cost of equity

Particulars	Notes	Value
Risk-free rate (%)	10-year treasury	4.46%
Beta	Bottoms Up beta	0.33
Equity market risk premium (%)	Damodaran ERP	4.46%
Cost of equity capital (%)		5.92%

Cost of debt

Particulars	Notes	**Value**
Debt borrowing rate (%)	Ratings Based	*5.6%*
Expected income tax rate (%)		*27.0%*
After-tax cost of debt (%)		*4.1%*

Weighted average cost of capital

Particulars	**Weight**	**Particulars**	**Cost**	**Value**
Debt (%)	*16.9%*	Cost of debt (%)	*4.1%*	*0.7%*
Equity (%)	*83.1%*	Cost of equity (%)	*5.9%*	*4.9%*
WACC				***5.6%***

Mondelez International WACC Calculation

(in USD million except per Share Data)

2 **Regression beta**

Cost of equity

Particulars	Notes	Value
Risk-free rate (%)	10-year treasury	4.46%
Beta	Regression beta	0.35
Equity market risk premium (%)	Damodaran ERP	4.46%
Cost of equity capital (%)		6.02%

Cost of debt

Particulars	Notes	**Value**
Debt borrowing rate (%)	Ratings Based	*5.6%*
Expected income tax rate (%)		*27.0%*
After-tax cost of debt (%)		*4.1%*

Weighted average cost of capital

Particulars	**Weight**	**Particulars**	**Cost**	**Value**
Debt (%)	*16.9%*	Cost of debt (%)	*4.1%*	*0.7%*
Equity (%)	*83.1%*	Cost of equity (%)	*6.0%*	*5.0%*
WACC				***5.7%***

WACC Sensitivity Analysis

		WACC								
	87	4.8%	5.00%	5.20%	5.40%	5.60%	5.80%	6.00%	6.20%	6.40%
LTGR	1.00%	87.8	82.6	77.8	73.5	69.6	66.0	62.7	59.6	56.8
	1.25%	94.1	88.2	82.9	78.1	73.8	69.8	66.2	62.8	59.7
	1.50%	101.5	94.7	88.7	83.3	78.4	74.0	70.0	66.3	62.9
	1.75%	110.0	102.2	95.3	89.2	83.7	78.8	74.3	70.2	66.5
	2.00%	120.0	110.9	103.0	96.0	89.7	84.1	79.1	74.6	70.4
	2.25%	132.1	121.3	111.9	103.8	96.6	90.3	84.6	79.5	74.8
	2.50%	146.7	133.7	122.6	113.0	104.6	97.3	90.8	85.0	79.8
	2.75%	164.9	148.8	135.3	123.9	114.1	105.5	98.0	91.4	85.5
	3.00%	188.2	167.7	151.0	137.1	125.3	115.2	106.4	98.8	92.0

		WACC								
	83	4.8%	5.0%	5.2%	5.4%	5.6%	5.8%	6.0%	6.2%	6.4%
Exit Multiple	9.0x	58.4	57.7	57.1	56.5	55.8	55.2	54.6	54.0	53.5
	10.0x	64.8	64.1	63.4	62.7	62.0	61.3	60.7	60.0	59.4
	11.0x	71.2	70.4	69.7	68.9	68.2	67.5	66.7	66.0	65.3
	12.0x	77.6	76.7	75.9	75.1	74.3	73.6	72.8	72.0	71.3
	13.0x	84.0	83.1	82.2	81.4	80.5	79.7	78.8	78.0	77.2
	14.0x	90.4	89.4	88.5	87.6	86.7	85.8	84.9	84.0	83.1
	15.0x	96.8	95.8	94.8	93.8	92.8	91.9	90.9	90.0	89.1
	16.0x	103.2	102.1	101.1	100.0	99.0	98.0	97.0	96.0	95.0
	17.0x	109.6	108.5	107.4	106.3	105.2	104.1	103.0	102.0	101.0

Base case: $87/share (LTGR method) vs. $83/share (Exit Multiple method) — valuation ranges from ~$70 to ~$255 across WACC (4.8%–6.4%) and growth/exit assumptions, highlighting high sensitivity to discount rate and terminal value assumptions.

Relative Valuation – Comparable Company Analysis

EV / EBITDA method

Period	EBITDA (mn)	Multiple range	Implied value/share
LTM	$5,971	12.9x - 15.8x	$44.31 - $57.60
FY1	$6,729	13.3x - 16.3x	$54.12 - $69.59
FY2	$7,256	12.4x - 15.1x	$54.18 - $69.66

Reported range (per model): $44.31 - $69.66 per share.

EV / EBIT method

Period	EBIT (mn)	Multiple range	Implied value/share
LTM	$3,676	15.3x - 18.6x	$27.97 - $37.62
FY1	$5,320	15.7x - 19.1x	$49.04 - $63.38
FY2	$5,834	14.3x - 17.5x	$49.31 - $63.72

Reported range (all periods usable): $27.97 - $63.72 per share.

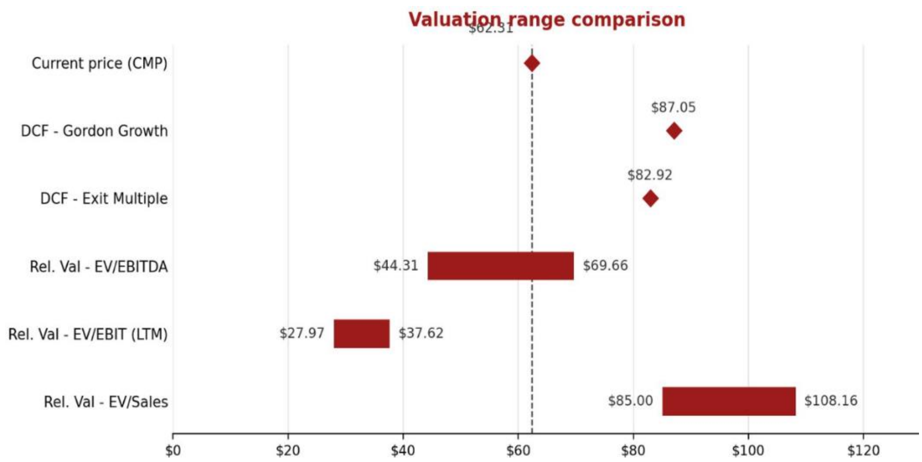
EV / Sales method

Period	Sales (mn)	Multiple range	Implied value/share
LTM	$39,304	3.3x - 4.1x	$85.67 - $108.16
FY1	$40,107	3.2x - 4.0x	$85.00 - $107.34
FY2	$41,284	3.1x - 3.8x	$85.11 - $107.46

Reported range (all periods usable): $85.00 - $108.16 per share.

Valuation Summary

Method	Implied value/share	vs CMP ($62.31)
Current price (CMP, 31 Jul 2026)	$62.31	—
DCF – Gordon growth	$87.05	+39.7%
DCF – Exit multiple	$82.92	+33.1%
Relative valuation – EV/EBITDA	$44.31 – $69.66	-28.9% to +11.8%
Relative valuation – EV/EBIT (LTM)	$27.97 – $37.62	-55.1% to -39.6%
Relative valuation – EV/Sales	$85.00 – $108.16	+36.4% to +73.6%



Reading the comparison

DCF ($83–$87), EV/EBITDA ($44–$70), and EV/Sales ($85–$108) point to fair value at or above the current price of $62.31. EV/EBIT (LTM) ($28–$38) is the outlier — but its base year is FY2025 EBIT ($3,676mn), the cocoa-driven margin trough itself, versus $5,320–$5,834mn on a forward basis. As margins recover, this multiple normalizes toward the other methods rather than signaling a lower fair value today.

Source: Company DCF model; internal trading comps model

Investment View & Conclusion

Valuation Summary

Method	Implied Value/Share	vs. CMP ($62.31)
Current price (CMP, 31 Jul 2026)	$62.31	—
DCF – Gordon Growth	$87.05	+39.7%
DCF – Exit Multiple	$82.92	+33.1%
Relative Valuation – EV/EBITDA	$44.31 – $69.66	-28.9% to +11.8%

Key Strengths (per model)

- Diversified global brand portfolio (Oreo, Cadbury, Milka, Ritz, Trident) across four balanced geographic segments, limiting single-market concentration risk.
- Consistent free cash flow generation, supporting a FY2025 FCF of $3.2bn and $4.9bn returned to shareholders via dividends and buybacks.
- Deleveraging trajectory: Net Debt/EBITDA projected to improve from 2.38x (FY2026E) to 1.76x (FY2028E) as EBITDA recovers.
- Low-risk profile: regression beta of 0.35x versus the market, feeding a low WACC of 5.61%.
- Four of five valuation methods (both DCF approaches, relative EV/EBITDA, relative EV/Sales) imply meaningful upside to the current price.

Key Risks (per model)

- Cocoa cost inflation materially compressed FY2025 profitability (EBITDA margin fell from 21.4% to 13.1%; segment operating margins fell 3.4–5.0pp across every region except Latin America) — a recurrence would pressure the recovery thesis.
- The two DCF methods diverge from relative valuation on EV/EBIT and EV/Sales (LTM), where forward-period outputs in the underlying comps model could not be used due to formula errors, reducing confidence in those specific metrics.
- WACC/LTGR sensitivity is wide: implied DCF value ranges from $56.80 to $188.20 per share across tested combinations, indicating high sensitivity to key assumptions.
- Hershey's CMP in the underlying comps model appears to be a data error, distorting that peer's multiples and reducing the reliability of median/mean peer comparisons where it is not excluded.
- Latin America's FY2025 margin improvement relied on pricing offsetting volume/currency headwinds — a strategy with limits if price increases outpace what consumers will absorb.

Overall Valuation View

The valuation methods in this model show broad, though not universal, convergence toward upside from the current price. Both DCF methods ($83–$87/share) and the relative EV/EBITDA range ($44–$70/share) — the most internally consistent of the three relative valuation metrics — support a fair value meaningfully above the $62.31 current price. The EV/EBIT and EV/Sales relative methods are less reliable on a forward basis due to data issues in the underlying comps model and are given less weight accordingly.

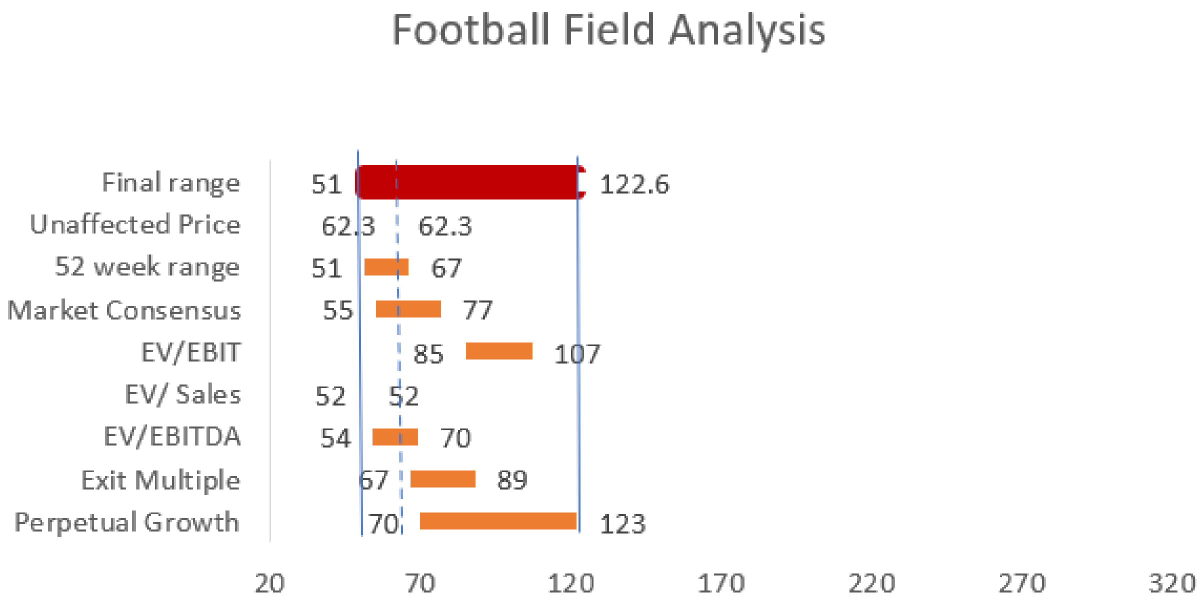
Based on this analysis, we initiate coverage with a **BUY** rating and a target price of approximately **$84.00**, implying upside of approximately **34.8%** from the current price.

Source: Company DCF model; internal trading comps model; company 10-K/earnings release data.

Football Field Analysis

Method	Lower	Difference	Higher
Perpetual Growth	70	53	123
Exit Multiple	67	22	89
EV/EBITDA	54	15	70
EV/ Sales	52	-	52
EV/EBIT	85	22	107
Market Consensus	55	22	77
52 week range	51	15	67
Unaffected Price	62.3	-	62.3
Final range	51	71	122.6

Mondelēz International



APPENDIX

Name of Target Company | **Mondelez International** | Median | 1

	Metrics	Industry Multiple Range Lower	Industry Multiple Range Higher	Implied EV-Mondelez Int. Lower	Implied EV-Mondelez Int. Higher	Minority Interest	Total Debt	Debt Equivalent	Cash & Cash Eq	Investments	Implied Equity-Mondelez Int Lower	Implied Equity-Mondelez Int Higher	Diluted Shares O/S	mplied Per Share Value-Mondelez Ir Lower	mplied Per Share Value-Mondelez Ir Higher
		10%	10%												
LTM EV/EBITDA	5,971	12.9x	15.8x	77,166	94,314	54	21024	1059	1524	610	57,163	74,311	1290.1	44.3	57.6
FY1 EV/EBITDA	6,729	13.3x	16.3x	89,825	1,09,786	54	21024	1059	1524	610	69,822	89,783	1290.1	54.1	69.6
FY2 EV/EBITDA	7,256	12.4x	15.1x	89,900	1,09,877	54	21024	1059	1524	610	69,897	89,874	1290.1	54.2	69.7
		12.9x	15.8x								Mondelez International Valuation Range as per Trading			54.1	69.6

	Metrics	Industry Multiple Range Lower	Industry Multiple Range Higher	Implied EV-Mondelez Int Lower	Implied EV-Mondelez Int Higher	Minority Interest	Total Debt	Debt Equivalent	Cash & Cash Eq	Investments	Implied Equity-Mondelez Int Lower	Implied Equity-Mondelez Int Higher	Diluted Shares O/S	mplied Per Share Value-Mondelez Ir Lower	mplied Per Share Value-Mondelez Ir Higher
		10%	10%												
LTM EV/EBIT	3,676	15.3x	18.6x	56,082	68,544	54	21024	1059	1524	610	36,079	48,541	1290.1	28.0	37.6
FY1 EV/EBIT	5,320	15.7x	16.5x	83,272	87,728	54	21024	1059	1524	610	67,725	67,725	1290.1	52.5	52.5
FY2 EV/EBIT	5,834	14.3x	22.1x	83,626	1,28,994	54	21024	1059	1524	610	1,08,991	1,08,991	1290.1	84.5	84.5
		15.3x	18.6x								Mondelez International Valuation Range as per Trading			52.5	52.5

	Metrics	Industry Multiple Range Lower	Industry Multiple Range Higher	Implied EV-Mondelez Int Lower	Implied EV-Mondelez Int Higher	Minority Interest	Total Debt	Debt Equivalent	Cash & Cash Eq	Investments	Implied Equity-Mondelez Int Lower	Implied Equity-Mondelez Int Higher	Diluted Shares O/S	mplied Per Share Value-Mondelez Ir Lower	mplied Per Share Value-Mondelez Ir Higher
		10%	10%												
LTM EV/Sales	39,304	3.3x	4.1x	1,30,535	1,59,543	54	21024	1059	1524	610	1,10,532	1,39,540	1290.1	85.7	108.2
FY1 EV/Sales	40,107	3.2x	4.0x	1,29,668	1,58,483	54	21024	1059	1524	610	1,09,665	1,38,480	1290.1	85.0	107.3
FY2 EV/Sales	41,284	3.1x	3.8x	1,29,803	1,58,648	54	21024	1059	1524	610	1,09,800	1,38,645	1290.1	85.1	107.5
		3.2x	4.0x								Mondelez International Valuation Range as per Trading			85.1	107.5

Calculation of Diluted Shares-Mondelez International

Basic Shares o/s	1,284
Diluted Shares o/s	1,290.1

Mondelez International, Consolidated Statements of Earnings For the Years Ended December 31 (in millions of U.S. dollars, except per share data)	12 Months	12 Months	12 Months	12 Months	12 Months	12 Months	12 Months	12 Months	12 Months	12 Months
	31 December 2021	31 December 2022	31 December 2023	31 December 2024	31 December 2025	31 December 2026	31 December 2027	31 December 2028	31 December 2029	31 December 2030
Net revenues	28720	31,496	36,016	36,441	38,537	41668	45095	48851	52975	57509
Cost of sales	17466	20,184	22,252	22,184	27,602	26599	28787	31185	33817	36712
Gross profit	**11254**	**11312**	**13764**	**14257**	**10935**	**15068**	**16308**	**17666**	**19157**	**20797**
Selling, general and administrative expenses	6,263	7,384	8,002	7,439	7,173	8875	9605	10405	11283	12249
Asset impairment and exit costs	212	262	-217	324	85	0	0	0	0	0
Net gain on divestitures and acquisitions	8	0	108	4	13	0	0	0	0	0
Amortization of intangible assets	134	132	151	153	142	144	143	142	141	140
Operating income	4,787	3,666	6,087	6,498	3,690	6,193	6,703	7,261	7,874	8,548
Benefit plan non-service income	163	117	82	96	-252	65	70	76	82	89
Interest and other expense, net	447	423	310	180	282	301.77	279.36	251.01	218.95	193.03
Gain on marketable securities	0	0	606	0	0	0	0	0	0	0
Earnings before income taxes	4,503	3,360	6,465	6,414	3,156	5,956	6,493	7,086	7,737	8,444
Income tax provision	1,190	865	1,537	1,469	782	1473	1606	1752	1913	2088
Gain/(loss) on equity method investment transactions	742	-22	465	-337	169	0	0	0	0	0
Equity method investment net earnings	393	385	160	168	65	0	0	0	0	0
Net earnings	4,448	2,858	5,553	4,776	2,608	4,484	4,888	5,334	5,824	6,356
less: Noncontrolling interest earnings	14	9	9	12	15	15	16	17	19	21
Net earnings attributable to Mondelēz International	4,434	2,849	5,544	4,764	2,593	4,469	4,872	5,317	5,805	6,336
Weighted average common share outstanding -diluted	1,413	1,385	1,370	1,347	1,298	1,298	1,298	1,298	1,298	1,298
Net income per share -diluted	3.1	2.1	4.0	3.5	2.0	3.4	3.8	4.1	4.5	4.9
Dividend paid per share	1.33	1.47	1.62	1.79	1.94	2	2	2	3	3
Dividend payout ratio	42.38%	71.46%	40.03%	50.61%	97.11%	60.32%				

Mondelēz International, Inc. and Subsidiaries Consolidated Balance Sheets, as of December 31 (in	Units	12 Months 31 December 2021	12 Months 31 December 2022	12 Months 31 December 2023	12 Months 31 December 2024	12 Months 31 December 2025	12 Months 31 December 2026	12 Months 31 December 2027	12 Months 31 December 2028	12 Months 31 December 2029	12 Months 31 December 2030
ASSETS											
Cash and cash equivalents		3,546	1,923	1,810	1,351	2,125	1707	1168	338	-518	-307
Receivables		3,188	3,907	4,512	4,811	4,858	5154	5577	6042	6552	7113
Inventories		2,708	3,381	3,615	3,827	4,419	4350	4707	5099	5530	6003
Other current assets		900	880	1,766	3,253	1,549	1,549	1,549	1,549	1,549	1,549
Total current assets		**10,342**	**10,091**	**11,703**	**13,242**	**12,951**	**12,759**	**13,001**	**13,029**	**13,113**	**14,358**
Property, plant and equipment, net		8,658	9,020	9,694	9,481	10,667	11588	12541	13586	14733	15994
Operating lease right-of-use assets		613	660	683	767	731	731	731	731	731	731
Goodwill		21,978	23,450	23,896	23,017	24,336	24,336	24,336	24,336	24,336	24,336
Intangible assets, net		18,291	19,710	19,836	18,848	19,628	19,484	19,341	19,199	19,058	18,918
Prepaid pension assets		1,009	1,016	1,043	987	1,220	1,220	1,220	1,220	1,220	1,220
Deferred income taxes		541	473	408	333	336	336	336	336	336	336
Equity method investments		5,289	4,879	3,242	635	667	667	667	667	667	667
Other assets		371	1,862	886	1,187	951	951	951	951	951	951
TOTAL ASSETS		**67,092**	**71,161**	**71,391**	**68,497**	**71,487**	**72,072**	**73,124**	**74,054**	**75,145**	**77,511**
LIABILITIES											
Short-term borrowings		216	2,299	420	71	2,688	-	-	-	-	-
Current portion of long-term debt		1,746	383	2,101	2,014	1,295	1740	2121	2246	1284	0
Accounts payable		6,730	7,562	8,321	9,433	10,139	10249	11091	12015	13030	14145
Accrued marketing		2,097	2,370	2,683	2,558	2,787	2,787	2,787	2,787	2,787	2,787
Accrued employment costs		822	949	1,158	928	1,000	1,000	1,000	1,000	1,000	1,000
Other current liabilities		2,397	3,168	4,330	4,545	3,955	3,955	3,955	3,955	3,955	3,955
Total current liabilities		**14,008**	**16,731**	**19,013**	**19,549**	**21,864**	**19,731**	**20,954**	**22,003**	**22,056**	**21,887**
Long-term debt		17,550	20,251	16,887	15,664	17,222	18153	16032	13786	12502	12502
Long-term operating lease liabilities		459	514	537	623	599	599	599	599	599	599
Deferred income taxes		3,444	3,437	3,292	3,425	3,530	3,530	3,530	3,530	3,530	3,530
Accrued pension costs		681	403	437	391	422	422	422	422	422	422
Accrued postretirement health care costs		301	217	124	98	74	74	74	74	74	74
Other liabilities		2,326	2,688	2,735	1,789	1,885	1,885	1,885	1,885	1,885	1,885
TOTAL LIABILITIES		**38,769**	**44,241**	**43,025**	**41,539**	**45,596**	**44,394**	**43,496**	**42,299**	**41,068**	**40,899**
EQUITY											
Common Stock		-	-	-	-	-	-	-	-	-	-
Additional paid-in capital		32,097	32,143	32,216	32,276	32,322	32,322	32,322	32,322	32,322	32,322
Retained Earnings		30,806	31,481	34,236	36,476	36,413	38,186	40,120	42,229	44,533	47,047
Accumulated other comprehensive losses		-10,624	-10,947	-10,946	-12,471	-11,364	-11,364	-11,364	-11,364	-11,364	-11,364
Treasury stock		-24,010	-25,794	-27,174	-29,349	-31,533	-31,533	-31,533	-31,533	-31,533	-31,533
Total Mondelez International Shareholder's Equity		**28,269**	**26,883**	**28,332**	**26,932**	**25,838**	**27,611**	**29,545**	**31,654**	**33,958**	**36,472**
Noncontrolling interest		54	37	34	26	53	68	83	101	119	140
TOTAL EQUITY		**28,323**	**26,920**	**28,366**	**26,958**	**25,891**	**27,679**	**29,628**	**31,755**	**34,077**	**36,612**
TOTAL LIABILITIES AND EQUITY		**67,092**	**71,161**	**71,391**	**68,497**	**71,487**	**72,072**	**73,124**	**74,054**	**75,145**	**77,511**

Cash Flow Statement	12 Months 31 December 2026	12 Months 31 December 2027	12 Months 31 December 2028	12 Months 31 December 2029	12 Months 31 December 2030
Cash from Operating Activities					
Net Income	4,484	4,888	5,334	5,824	6,356
Depreciation & Amortization	1,456	1,563	1,680	1,809	1,950
Changes in assets and liabilities, net of business acquistion and divestitures:					
Accounts receivable -trade,net	(296)	(424)	(465)	(510)	(561)
Inventories	69	(358)	(392)	(430)	(473)
Account payable ,net	110	843	924	1,014	1,115
Net cash provided by operating activities	**5,823**	**6,512**	**7,081**	**7,707**	**8,388**
Cash from Investing Activities					
Capital Expenditure	(2,233)	(2,373)	(2,583)	(2,815)	(3,071)
Net cash used for investing activities	**(2,233)**	**(2,373)**	**(2,583)**	**(2,815)**	**(3,071)**
Cash from financing activities					
Cash dividends paid	(2,696)	(2,939)	(3,207)	(3,502)	(3,822)
Debt Raised	0	0	0	0	0
Debt Repaid	(1,312)	(1,740)	(2,121)	(2,246)	(1,284)
Net cash provided by financing activities	**(4,008)**	**(4,679)**	**(5,328)**	**(5,748)**	**(5,106)**
Net Increase/(Decrease) in Cash and Cash Equivalents	(418)	(540)	(830)	(856)	211
Cash and Cash Equivalents, Beginning of Year	2,125	1,707	1,168	338	-518
Cash and Cash Equivalents, End of Period	**1,707**	**1,168**	**338**	**-518**	**-307**